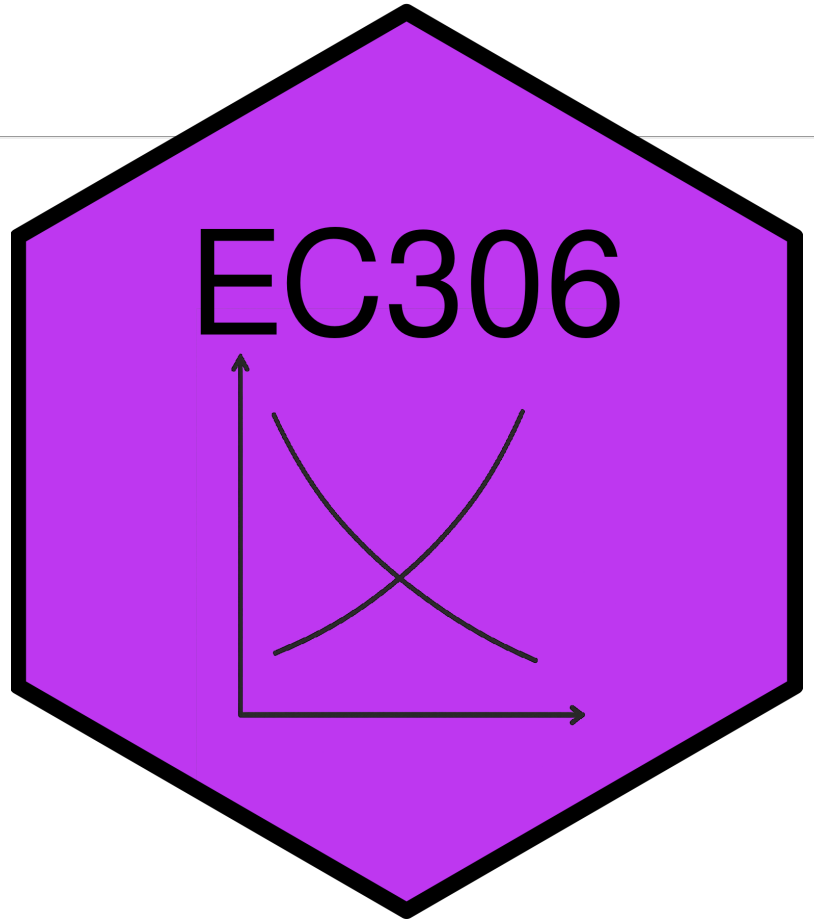
Chapter 4: Labour Supply and Income Support Programs — In-Class Questions

EC306- Wages and Employment

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BFGLSS Chapter 4 Review Question 2

Use the basic model of labour supply diagram to illustrate the following cases where an individual is

a) Unwilling to go on social assistance because the benefit payment is too low

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b) Indifferent between social assistance as their sole income and work

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c) Induced to move off social assistance because of an increase in wages

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d) Induced to move off social assistance because of a change in preferences between income and leisure

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e) Induced to move off social assistance by a reduction of the 100 percent implicit tax on earnings

BFGLSS Chapter 4 Problem 6

The different programs discussed in this chapter often have ambiguous effects on work effort. It is, nonetheless, possible to compare the work incentives of two programs by looking at what happens when the individual is indifferent between two programs. Use this approach to compare the work incentives of the following two pairs of programs. In both cases use graphs to show the hours of work chosen under the two programs by an individual who is indifferent between them:

a) Canada Workers Benefit compared to perfectly targeted social assistance

BFGLSS Chapter 4 Problem 6

b) Wage subsidy compared to a negative income tax

BFGLSS Chapter 4 Problem 3

Use the basic model of labour supply to illustrate that (if we hold the post-subsidy income of the recipients constant or the size of the subsidy constant) a negative income tax will involve more adverse work incentives than a wage subsidy would.

MC1

Suppose that a worker says that due to a refundable tax benefit, it appears to her that working pays more than it used to, and so she wants to work longer hours. What type of effect is involved?

a) Only a substitution effect

b) Only an income effect

c) Both a substitution and an income effect

d) A reservation wage effect

e) No impact on incentives at all